

The background of the slide is a dark brown, textured surface featuring a repeating pattern of the Louis Vuitton monogram. The monogram consists of the letters 'LV' and a four-pointed star (the 'L' and 'V' are stylized) in a lighter brown color. The pattern is dense and covers the entire background.

LVMH

Industry Insights and Financial Performance

Analysis - Medhavi Vyas

Maisons with a strong identity About LVMH

LVMH is made up of 75 prestigious Maisons organized
into six business groups. Each Maison steadfastly
preserves and perfects a long tradition
of expertise and offers exceptional products.

LVMH is the world's leading luxury products conglomerate, managing a portfolio of 75 prestigious "Maisons" across six distinct business sectors: Wines & Spirits, Fashion & Leather Goods, Perfumes & Cosmetics, Watches & Jewelry, Selective Retailing, and Other activities (including hospitality and media).

14TH CENTURY 1365 LE CLOS DES LAMBRAYS 16TH CENTURY 1593 CHÂTEAU
D'YQUEM 18TH CENTURY 1729 RUINART 1743 MOËT & CHANDON 1765
HENNESSY 1772 VEUVE CLICQUOT 1780 CHAUMET 19TH CENTURY 1803 OFFICINE
UNIVERSELLE BULY 1815 ARDBEG 1817 COVA 1828 GUERLAIN 1832 CHÂTEAU
CHEVAL BLANC 1837 TIFFANY & CO. 1839 L'ÉPÉE 1839 1843 KRUG 1843
LOUIS VUITTON 1858 MERCIER 1860 JAS. JAEGER 1860 JARDIN D'ACCLIMATION
20TH CENTURY 1908 L. CHLOS 1911 L'AGEE 1914 1916 JACQUARD
FENDI 1936 DOM PÉRIGNON 1936 FRED 1936 MINUTY 1944 LE PARISIEN-AUJOURD'HUI
EN FRANCE 1945 CELINE 1946 CHRISTIAN DIOR COUTURE 1947 PARFUMS
CHRISTIAN DIOR 1947 EMILIO PUCCI 1949 PARIS MATCH 1952 GIVENCHY
CONNAISSANCE DES ARTS 1955 CHÂTEAU GALOUPET 1957 PARFUMS GIVENCHY
1957 REPOSSI 1957 VUARNET 1959 CHANDON 1960 DES 1969 SEPHORA 1969 GÉRALD GENTA
1970 KENZO 1972 LOEWE PERFUMES 1973 JOSEPH PHELPS 1974 INVESTIR-LE JOURNAL
DES FINANCES 1976 BELMOND 1976 BENEFIT COSMETICS 1980 HUBLOT 1982
CHALLENGES 1983 OLE HENRIKSEN 1983 RADIO CLASSIQUE 1984 MARC JACOBS
1984 MAKE UP FOR EVER 1985 CLOUDY BAY 1988 KENZO PARFUMS 1988 DANIEL
ROTH 1991 FRESH 1992 COLGIN CELLARS 1993 BELVEDERE 1996 TERRAZAS DE LOS
ANDES 1998 BODEGA NUMANTIA 1999 CHEVAL DES ANDES 21ST CENTURY
2006 MAISONS CHEVAL BLANC 2006 CHÂTEAU D'ESCLANS 2006 ARMAND DE
BRIGNAC 2007 BARTON PERREIRA 2009 MAISON FRANCIS KURKDJIAN
2010 WOODINVILLE 2013 AO YUN 2013 L'OPINION 2017 FENTY BEAUTY
BY RIHANNA 2017 VOLCÁN DE MI TIERRA 2020 EMINENTE 2024 SIRDAVIS

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01 Industry and Company Analysis

Examining LVMH's position in
the global luxury market and
its competitive landscape

Industry Analysis

Global Leader in Luxury: Founded in 1987 through the merger of Louis Vuitton and Moët Hennessy, LVMH generated €80.8 billion in 2025 across 6,280 stores worldwide.

Decentralized Strength: Each brand operates independently, preserving heritage while leveraging LVMH's global scale and marketing power.

Key Industry Drivers: Growth shaped by geopolitical trade risks, regional shifts toward India and Southeast Asia, and rising use of AI to personalize luxury experiences.

Key macroeconomic factors influencing the industry include:

- Geopolitical and Trade Risks: New US tariffs and trade disruptions are cited as the top risk to industry growth for 2026, forcing brands to adjust supply chains and pricing.
- Regional Shifts: Recovery in China remains "tepid" due to structural economic issues, while India and Southeast Asia are emerging as the "next China" for long-term growth.
- Digital and AI Integration: Luxury brands are increasingly using AI to personalize the shopping experience for their top 1% of customers (VICs), who account for a disproportionate share of revenue.

Competitive Landscape

LVMH's primary rivals include Kering, Hermès, and Richemont.

- Vs. Kering: LVMH has significantly outperformed Kering, which has struggled with a painful turnaround of its flagship brand, Gucci.
- Vs. Hermès: Hermès remains the "gold standard" for scarcity and resilience, often trading at a premium compared to LVMH due to its ultra-exclusive waitlist model.
- Vs. Richemont: In the jewelry sector, LVMH's acquisitions of Tiffany & Co. and Bulgari place it in a fierce market-share battle with Richemont's Cartier.

Company Analysis - Strengths

LVMH's greatest strength lies in its vast portfolio of subsidiaries brands, allowing the company to remain resilient and profitable across multiple luxury sectors



Portfolio Breadth

LVMH's diversification acts as a hedge; when one sector (like Hennessy cognac) declines, another (like Sephora's beauty sales) often compensates



Distribution Control

By controlling 100% of the distribution for its top brands, LVMH maintains high pricing power and protects its "Veblen good" status.



Financial Resilience

The company is described as a "cash machine," with an operating free cash flow of €11.3 billion and a 26% reduction in net debt to €6.85 billion by the end of 2025.

Company Analysis - Weaknesses



Succession Risk

There is no single designated heir to Bernard Arnault (76), which leads to a "succession discount" on the company's valuation from wary institutional investors.



Exposure to Regional Slowdowns

The group faces significant risk from the weak recovery in China, where structural economic issues like youth unemployment may permanently lower the ceiling for luxury growth.

Future Outlook

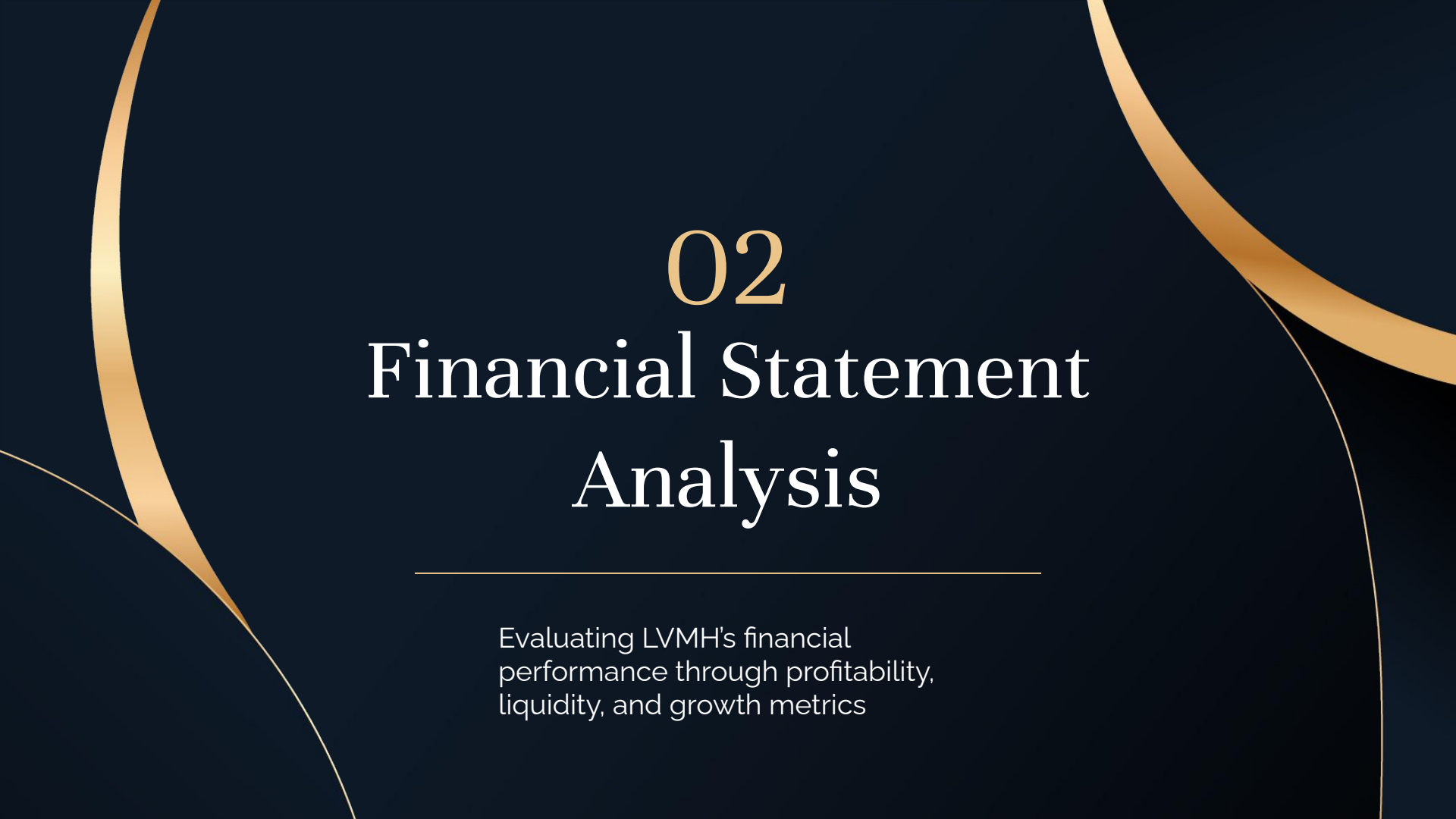
The luxury industry is currently experiencing a "luxury hangover" following the post-pandemic boom. While high-end brands are historically more resilient, LVMH is shifting its strategy toward "Ultra-Luxury" and the "Experience Economy" as middle-class "aspirational shoppers" retreat due to inflation.

- Economic Correlation: Research indicates that while luxury sales correlate strongly with long-term GDP growth (particularly in the US and China), annual fluctuations are volatile and difficult to forecast in the short term.
- Geopolitical Factors: New US tariffs and trade disruptions are cited as a top risk for 2026, forcing LVMH to adjust supply chains and pricing.
- Growth Markets: LVMH is aggressively expanding in India and Southeast Asia, viewing these regions as the "next China" for the 2030s.

Stakeholder Analysis

Stakeholder Analysis

- Customers: The group is increasingly focusing on the top 1% of customers (VICs), utilizing AI to personalize shopping experiences. Younger cohorts (Gen Z and Millennials) are also gaining power, using luxury as a marker of identity rather than just wealth.
- Suppliers and Production: LVMH is moving toward greater vertical integration to protect craftsmanship and ensure ethical sourcing. For example, Dior created a new industrial division to centralize oversight of its workshops.
- Capital Providers: The company is family-run but maintains deep relationships with institutional investors and individual shareholders through its Shareholders' Club and dedicated investor relations portals.
- Employees: LVMH employs over 211,000 people. The company is heavily investing in AI-driven upskilling to transition employees from routine tasks to higher-value creative and analytical roles.

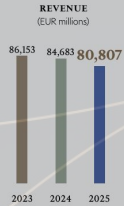
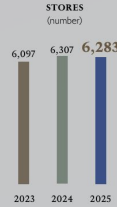
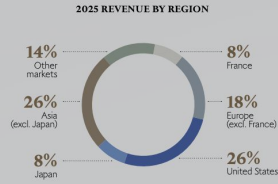


02

Financial Statement Analysis

Evaluating LVMH's financial
performance through profitability,
liquidity, and growth metrics

Financial performance measures



REVENUE BY BUSINESS GROUP			
(EUR millions)	Change 2025/2024		
	2025	Reported	Organic ⁽¹⁾
Wines & Spirits	5,358	-9%	-5%
Fashion & Leather Goods	37,770	-8%	-5%
Perfumes & Cosmetics	8,174	-3%	0%
Watches & Jewelry	10,486	-1%	+3%
Selective Retailing	18,348	0%	+4%
Other activities and eliminations	671	-	-
TOTAL LVMH	80,807	-5%	-1%

PROFIT FROM RECURRING OPERATIONS BY BUSINESS GROUP			
(EUR millions)	Change 2025/2024		
	2025	Change 2025/2024	Operating margin
Wines & Spirits	1,016	-25%	19.0%
Fashion & Leather Goods	13,209	-13%	35.0%
Perfumes & Cosmetics	727	+8%	8.9%
Watches & Jewelry	1,514	-2%	14.4%
Selective Retailing	1,780	+28%	9.7%
Other activities and eliminations	(491)	-	-
TOTAL LVMH	17,755	-9%	22.0%

(1) On a constant consolidation scope and currency basis. For the Group, the impact of changes in scope with respect to 2024 was negligible and the impact of exchange rate fluctuations was -3%.

Income Statement Analysis

Revenue Performance: Total revenue for 2025 reached €80.8 billion. This represented a 1% organic decline compared to 2024. However, the year ended with a trajectory of improvement, posting 1% organic growth in the fourth quarter compared to a 3% decline in the first half of the year.

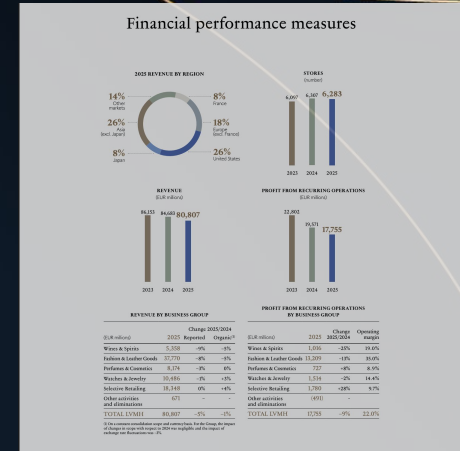
Financial Statement Analysis (cont.)

- Profitability and Margins:

- Net Profit (Group Share): The company earned €10.9 billion.
 - Operating Profit: This figure fell 9% to €17.8 billion.
 - Operating Margin: The margin compressed to 22% in 2025, down from the historic highs of 26% seen during the post-pandemic "super-cycle". Despite the compression, this 22% margin was slightly better than the 21% originally forecasted by some analysts, supported by stronger-than-expected margins in the leather goods segment.

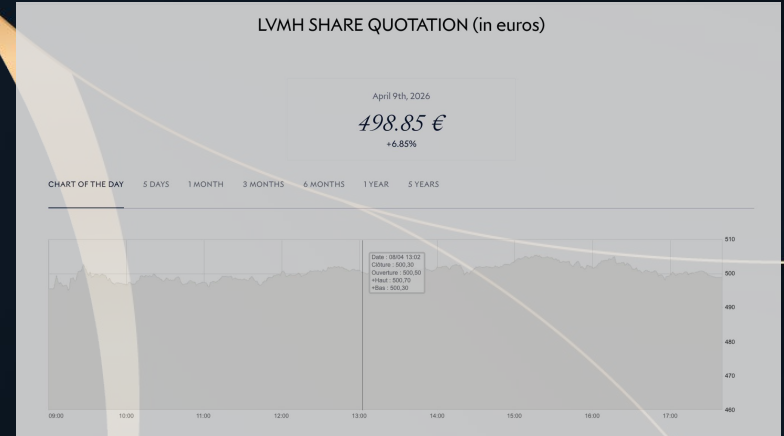
- Segment Performance:

- Fashion & Leather Goods: As the group's "crown jewel," this segment experienced a 5% organic decline for the full year, though the fourth quarter showed relative improvement with a 3% decline.
 - Watches & Jewelry: This segment stood out as a performer with an 8% uptick in the final quarter of 2025.
 - Wines & Spirits: This sector faced steeper revenue declines, particularly in Hennessy cognac, which was partially hedged by the stronger performance of beauty sales within the Selective Retailing segment (Sephora).



Market and Future Outlook:

As of April 8, 2026, LVMH shares were quoted at €498.85, a daily increase of 6.85%. Despite the tepid recovery in global demand, particularly in China, analysts view the underlying long-term drivers for LVMH as intact, supported by growing incomes and wealth creation in its primary markets, the US and China. However, executives remain cautious for 2026, citing US tariffs and trade disruptions as top risks that could further impact margins and force price increases of 5–10%





03

DCF Valuation

Estimation of LVMH's intrinsic value
using projected cash flow and
discount rates

Discounting Cash Flows with WACC of 9%

Growth rate -> 4.64% 2025 -> 11.333B

FCF Year 1 = 11.859B

PV Year 1 = 10.88B

FCF Year 2 = 12.409B

PV Year 2 = 10.44B

FCF Year 3 = 12.985B

PV Year 3 = 10.03B

FCF Year 4 = 13.89B

PV Year 4 = 9.84B

FCF Year 5 = 14.457B

PV Year 5 = 9.4B

Total Value: 50.59B

Terminal Value:

$$14.457 \times (1+0.0464)/(0.09-0.0464) \\ = \mathbf{346.97}$$

Present Value of Terminal Value =

$$(1.09)^5 = 1.5386 \\ = 346.1/1.5386 = \mathbf{224.9B}$$

Enterprise Value:

$$= 50.59B + 224.9B = \mathbf{275.49B}$$

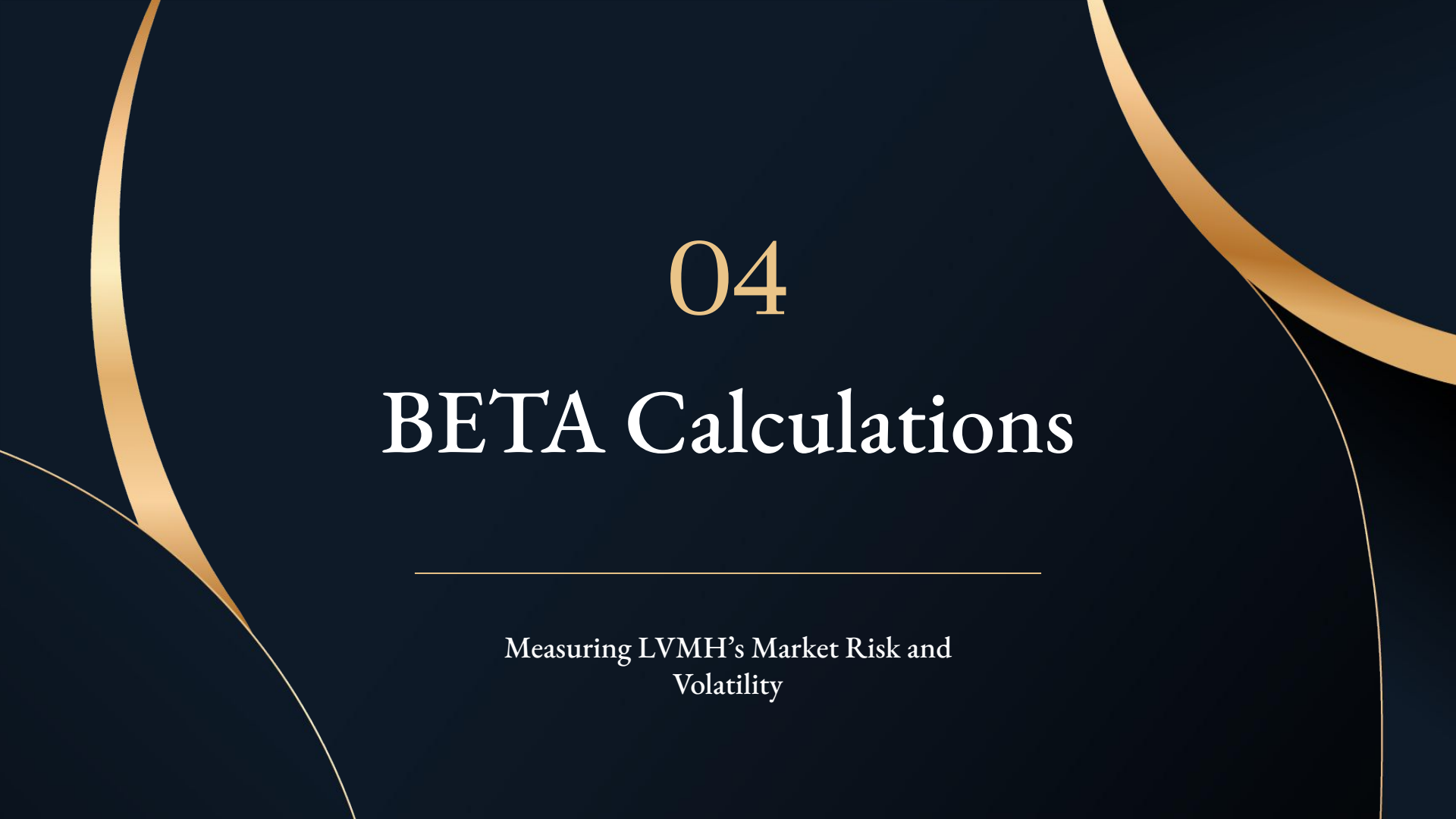
Equity Value = 275.49B - 6.857B = **268.63B**

Value per Share = 268.63B/497686940 shares = €539.76

Current Stock Price: €498.85

This stock is **UNDERVALUED**.

Enterprise Value; If someone were to buy the whole company, they would pay 275.49B Euros.



04

BETA Calculations

Measuring LVMH's Market Risk and
Volatility

Excel Sheet Returns

Beta is 1.234686.

This means that LVMH is 23.47% more volatile than the rest of the market. It is a more risky investment and more responsive to the market, but not drastically.

Upside = $(539.76 - 498.85)/498.85 = 8.2\%$

The upside and the difference between the value per share and actual current price tells us that this stock is undervalued. So, we should buy the stock.

Date	LVMH		S&P 500	
1-Apr-26	471.05	1.72%	6611.83	1.28%
1-Mar-26	463.1	-14.89%	6528.52	-5.09%
1-Feb-26	544.1	-0.51%	6878.88	-0.87%
1-Jan-26	546.9	-14.48%	6939.03	1.37%
1-Dec-25	639.48	1.50%	6845.5	-0.05%
1-Nov-25	630.06	3.82%	6849.09	0.13%
1-Oct-25	606.86	17.60%	6840.2	2.27%
1-Sep-25	516.05	3.25%	6688.46	3.53%
1-Aug-25	499.79	6.72%	6460.26	1.91%
1-Jul-25	468.31	6.24%	6339.39	2.17%
1-Jun-25	440.8	-7.04%	6204.95	4.96%
1-May-25	474.16	-0.48%	5911.69	6.15%
1-Apr-25	476.47	-14.66%	5569.06	-0.76%
1-Mar-25	558.31	-17.73%	5611.85	-5.75%
1-Feb-25	678.63	-1.22%	5954.5	-1.42%
1-Jan-25	687.02	11.74%	6040.53	2.70%
1-Dec-24	614.86	7.26%	5881.63	-2.50%
1-Nov-24	573.25	-2.84%	6032.38	5.73%
1-Oct-24	589.99	-11.43%	5705.45	-0.99%
1-Sep-24	666.13	2.11%	5762.48	2.02%
1-Aug-24	652.39	3.26%	5648.4	2.28%
1-Jul-24	631.79	-8.49%	5522.3	1.13%
1-Jun-24	690.42	-2.90%	5460.48	3.47%
1-May-24	711.03		5277.51	



Thank you!

Hope you buy an LVMH Stock soon!